

What are the ways in which value for money (including cost-benefit analysis) can be assessed based on what 'effect size' estimates are available from impact evaluation?

This Types of Economic Cost-Benefit and Value for Money Tool (G18) provides a framework for estimating an initiative's value for money. This is the economic value created or saved by an initiative compared to the cost of running it, plus any other costs associated with it. Taking the costs of an initiative away from its benefits gives an estimate of its "value for money" (also called "cost-benefit" analysis). This can be seen as a type of "summative evaluation" (working out the overall worth or merit of an initiative) in this case by putting it into common dollar values. See Component I in the Strategy or Outcomes System Components Diagram (D1).

To generate a value for money estimate, you first need to obtain or estimate the effect of the initiative on its high-level outcomes. The more accurate this estimate of the initiative's "effect-size," the better the value for money estimate. However, the robustness of effect-size estimates varies. It's more difficult to obtain effect-size estimates for some initiatives than others. Also, the impact evaluation work needed for such estimates might not yet have been done—particularly for new initiatives. Variability in robustness can create a "rubbish in, rubbish out" situation where worthless estimates are produced from non-robust effect sizes.

At the positive end of the spectrum are value for money exercises with effect sizes from robust impact evaluation designs, such as those at the top of the Impact Evaluation Design Types List Tool (G11). At the other end are effect-size estimates plucked from thin air. It is important in any analysis to clearly differentiate these two.

When effect-size estimates become too arbitrary, move away from claiming an "empirical value for money exercise" and label it "hypothetical." This is more honest than plugging in an arbitrary estimate and presenting it as more accurate than it is.